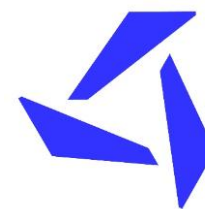


Astra



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DOMINICÉ
Invest like us.

Rue de la Confédération 5
1204 Genève
+41 22 319 20 80
ir@dominice.com | www.dominice.com



Governance and organization

- Investment Team
- Stakeholders' roles and complementarity

Investment Strategy Overview

- Introduction: the current state of the derivative market
- The fund in a nutshell
- Alpha generation
- Set of opportunities
- Risk framework

Strategy Structure

Appendix: Strategy examples



**Our objective is to establish an absolute return fund
focused on a high-potential niche,
designed to deliver scalable growth and attractive risk-adjusted returns.**



Complementary, Experienced Professionals

The team is composed of four senior professionals from leading global financial institutions, each bringing extensive expertise and a proven track record in their respective domains.

Simon Lepine

Portfolio Manager, Dominicé since August 2024

- Cross Asset Volatility specialist with **13 years of experience** as a Portfolio Manager in the hedge fund industry. After various roles on the sell side (SG, GS), Simon joined LFIS in 2013 to develop hedging and long-volatility strategies.
- In 2016 he became a sub-PM on the absolute return fund, and in 2021 he was appointed Lead PM for Implied Premia, delivering a **Sharpe ratio above 1 every year** for the flagship fund and SMAs.
- He regularly engaged with major institutional allocators, including pension funds and sovereign wealth funds.
- Simon holds an **Engineering degree from École Centrale de Lyon** and an **MSc in Finance from HEC Paris**.

Members to be announced

- 1 Cross-Asset Volatility Portfolio Manager
- 1 COO
- 1 Quant and Technology



LOIM

- **Risk oversight and strategic guidance**, ensuring robust governance, disciplined risk management, and long-term strategic direction.
- **Infrastructure support, brand credibility, and initial funding**, providing an institutional-grade setup, enhanced market visibility, and a solid foundation for growth.
- **Capital raising and Investor Relations**, supporting fundraising efforts, investor communication, and relationship management.

Dominicé

- **Reputable boutique with proven experience** in comparable strategies, bringing credibility, expertise, and an established track record.
- **Seed investors and project sponsors**, providing initial capital, strategic support, and long-term alignment.
- **Distributors**, supporting the fund's growth across key client segments



Current actors for the derivative market

- **The non-derivatives specialist**
 - **Retail investors:** Participate primarily through structured product or short-term options for yield enhancement or directional play while being mostly incentive to the derivatives parameters
 - **Buy-side:** Institutional investors (pension funds, macro hedge funds,...) use derivatives for hedging, directionality or yield enhancement with low sensitivity to market implied parameters.
 - **Corporate:** Corporate hedging programs are use for directionality with scant regards to derivatives parameter values.
- **The liquidity providers**
 - **Banks:** they used to be able to capture a big slice of the opportunities, but they now have limited capacity to warehouse risk due to capital constraints and regulatory pressure following the 2008 financial crisis.
 - **Market-makers:** they are only active in the most vanilla and listed products.
- **The specialist players**
 - A small number of **Hedge funds** and niche volatility traders actively trade implied parameters dislocations as an asset class.



What are the consequences of this discrepancy between a huge number of non-derivatives experts and a few specialist players?

- **Market dislocations** due to structural or tactical flow imbalances with parameters being pushed far from their real value
- Supply-demand dynamics differ across correlated assets, leading to **tradable relative-value opportunities**.
- **Growing volumes** and improving liquidity make these opportunities increasingly **scalable**.
- Opportunities remain **consistent and abundant**, as **few investors pursue them** due to the expertise required and operational barriers to entry.



Objectives

- Target **Sharpe Ratio > 1** with an expected **volatility of 8–10%**.
- Deliver **uncorrelated returns** to traditional asset classes—particularly equities—while maintaining a **positive convexity bias**.
- Focus on **relative-value strategies** across market parameters such as **volatility, correlation, and delta-one exposures**.

Investment Process

- Employ a **quantitative framework** to identify market opportunities and dislocations.
- Implement strategies using a **combination of systematic and discretionary approaches**, depending on the nature of the opportunity.
- **Position sizing** is driven by each strategy's **expected Sharpe contribution** and **stress-test impact**.

Traded instruments

- Invests in **listed and OTC derivatives** across asset classes, with a strong focus on **Equities, FX, and Commodities**.

Wrapper

- Offers **monthly liquidity** with a **90-day notice period**.

Capacity

- The strategy, in its initial configuration, has an **estimated capacity of USD 2 billion**.



A **quantitative framework** applied to market dislocations, combined with a **practitioner-driven trading approach**.

Identify Dislocations

- Analyze market flows to detect **potential dislocations**.
- Aggregate and **harmonize** data from multiple providers.
- **Quantify** identified dislocations by constructing relevant metrics.
- Assess each dislocation behavior relative to others to understand **its significance** and **persistence**.
- Continuously **monitor** existing dislocations to track their evolution over time.

Robust Structuring

- Select the implementation approach that is both **effective** and **tradable**.
- **Maximize exposure** to the identified dislocation while maintaining disciplined risk controls.
- Avoid implementations that are structurally weak, overly complex, or potentially toxic.
- Analyze the key **PnL drivers** for the chosen strategy to ensure transparency and robustness.

Allocation and management

Allocation should reflect:

- **Attractiveness** of the dislocation.
- **Expected lifecycle**
- **Specific risks** inherent to the trade.
- **Overall risk contribution** to the portfolio.

Active Management includes:

- Continuously assessing market conditions to identify compelling **entry and exit points**.
- Restructuring or hedging the position when necessary to **preserve risk-adjusted** returns and control drawdowns.



- All opportunities share a common rationale: **flow imbalances affecting key market parameters**.
- Our **nimble approach** enables us to capture both **structural** and **tactical** dislocations.
- We **classify opportunities** based on their most natural and effective implementation.

RV Volatility

Capture volatility spreads across multiple underlyings.

Correlation

Exploit gaps between realized and implied correlation.

Outright

Tactical trades based on quantitative signals in implied volatility.

Skew & Calendar

Harvest opportunities along the volatility surface.

Convexity

Benefit from asymmetric payoffs that perform well during regime shifts with controlled cost.



Measuring Strategy-Level Risk

- Assess relevant risk metrics for each individual strategy.
- **Greeks** capture current exposures.
- **Historical stress tests** evaluate valuations and Greeks under challenging market conditions.
- **Global common scenarios** (e.g., bear markets, correlation crises) provide standardized stress references.
- **Parametric stress tests** assess the impact on individual strategies.

Aggregating Risk at the Book Level

- Estimate valuations and Greeks under different scenarios.
- Apply **internal global limits** to prevent concentration on specific risks.
- Serve as input for sizing and managing opportunities consistently.

Sizing Individual Opportunities

- Balance **expected performance and Sharpe contribution** against risk.
- Evaluate **risk contribution across scenarios**.
- Compare **expected PnL vs potential loss under parametric stress**.

Managing Trades Consistently

- Monitor changes in strategy risk due to evolving market conditions.
- Adjust positions or add hedges as necessary.
- Replace strategies with more robust alternatives when environment shifts.



Strategy Objective

- Capture **relative mispricing in volatility** between two highly correlated assets
- Generate returns from **convergence of volatility spreads (realized and implied)**
- Minimize exposure to:
 - Market direction
 - Absolute volatility level

Trade Implementation Structure

- Long volatility on the “cheap” asset against short volatility on the “rich” asset
- Size trades to achieve:
 - Vega neutrality
 - Controlled gamma exposure
- **Instruments** : ATM straddle spread, Variance swap spread, Volatility swap spread, Forward volatility agreements (FVAs)

Key Risks to Monitor

- Asset-specific events affecting only one leg
- Correlation regime shifts
- Skew and smile differences between assets
- Basis risk from imperfect hedging
- Liquidity mismatch between instruments



Strategy Objective

- Monetize the gap between:
 - **Implied correlation** priced in index volatility
 - **Realized correlation** of index constituents

Trade Implementation Structure

- **Short basket volatility** (index)
- **Long constituent volatility** (single names)
- Notional weights aligned with:
 - Index composition
 - Volatility scaling
- Target exposure:
 - Short correlation
 - Neutral or controlled overall volatility
- **Typical Instruments:** Correlation swaps, Index variance or volatility swaps vs single-name swaps, Index straddles vs basket of single-name straddles, Hybrid structures combining listed options and OTC swaps

Key Risks to Monitor

- Sudden **correlation spikes** during market stress
- Systemic risk events impacting all constituents simultaneously
- Single-name idiosyncratic events (earnings, M&A)
- Liquidity constraints in single-name options
- Residual basis risk from imperfect replication



Strategy Objective

- Take **directional views on volatility levels**
- Exploit **cheap or expensive implied volatility**
- Target convex payoffs with **capped drawdown**
- Benefit from short-term dislocations and regime shifts

Trade Implementation Structure

- **Long volatility** when implied volatility is underpriced
- **Short volatility** when implied volatility is overpriced
- Exposure focused on:
 - Volatility level
 - Term structure
 - Skew dynamics
- **Typical Instruments:** ATM or OTM straddles / strangles; Vanilla calls and puts (delta-hedged); Variance swaps and volatility swaps; Forward volatility agreements (FVAs); Exotic options with convex payoffs (barriers, digitals, cliquets)

Key Risks to Monitor

- Volatility regime shifts
- Carry and theta decay (for long vol)
- Tail risk and convex losses (for short vol)
- Liquidity and execution risk during stressed markets



Strategy Objective

- Exploit **relative mispricing across the volatility surface**
- Capture dislocations in:
 - Skew (strike dimension)
 - Term structure (maturity dimension)
- Monetize normalization of surface dynamics rather than outright moves

Trade Implementation Structure

- Position **long and short volatility** at different strikes and/or maturities
- Structure trades to:
 - Isolate skew or calendar exposure
 - Minimize directional and level risk
- **Typical Instruments** : Volatility futures, Calendar spreads (options with different maturities), Risk reversals and skew trades, Vertical spreads (put/call spreads) , Forward volatility agreements (FVAs), Exotic options sensitive to skew or term structure (barriers, cliquets)

Key Risks to Monitor

- Persistent skew or term-structure regime shifts
- Event-driven repricing of specific strikes or maturities
- Correlation between skew and volatility level
- Model risk in extrapolating the surface
- Hedging slippage and rebalancing costs



Strategy Objective

- Capture **asymmetric payoff profiles** through convex exposure
- Benefit from **non-linear responses** to large underlying moves
- Exploit mispricing of tail risk driven by market flows

Trade Implementation Structure

- Position **long convexity** where tail risk is underpriced
- Focus on structures with:
 - Limited downside
 - Disproportionate upside in stress scenarios
- **Typical Instruments** Barrier options (knock-in, knock-out), Variances swaps, Digitals and one-touch options, Corridor variance, tail-risk and crash-protection structures

Key Risks to Monitor

- High carry cost and premium decay
- Liquidity constraints in exotic instruments
- Event timing risk and false breakouts



Dividend Volatility vs Euro Stoxx Volatility

Rationale

- Dividend volatility in structured products is **hard to hedge**
- Creates **persistent mispricing** vs index volatility

Market Dynamics

- Long-dated dividend options: **low gamma**
- Dividend swaptions trade **rich** relative to Euro Stoxx implied vs realized volatility

Trade Implementation

- **Long Euro Stoxx volatility, short dividend volatility**
- Via delta-hedged vanilla options
- Focus: **volatility convergence**, limited directional risk

Key Risk to Monitor

- **Basis risk** between dividend vol and realized index vol
- Policy or structural changes affecting dividends

Implementation to Avoid

- Outright dividend vol selling: exposed to **policy shocks and non-linear revisions**



S&P Dispersion

Rationale

- Exploit **structural dislocation** between:
 - Investor hedging flows on the S&P index
 - Overwriting and structured product flows on individual stocks

Trade Implementation

- Use **vanilla options** or **volatility swaps**
- Focus on **relative vol convergence** between index and constituents

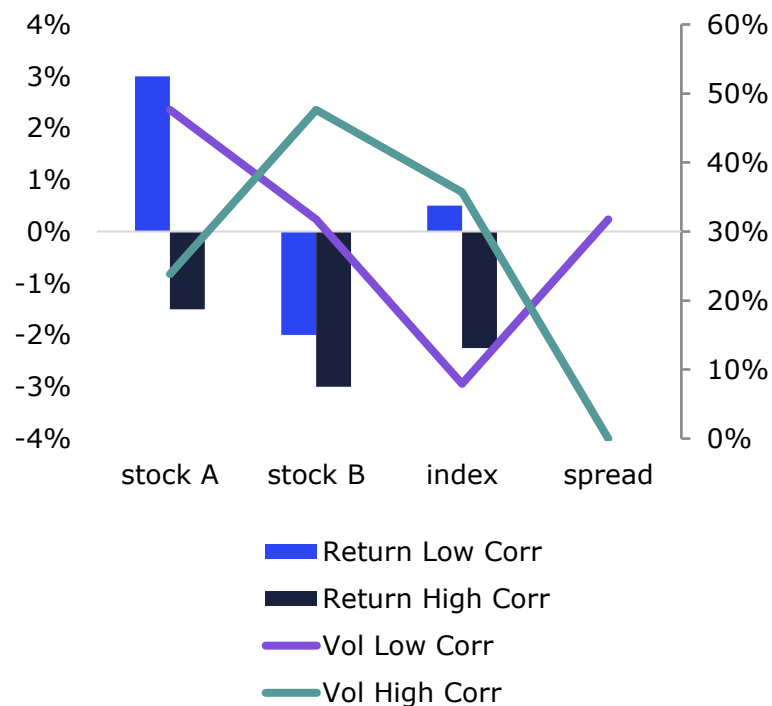
Key Risk to Monitor

- **Gamma and Vega exposure** on the S&P index
- Potential **market-wide shocks** affecting dispersion

Implementation to Avoid

- Theta-flat strategies: high correlation to market

Return vs vol for a basket





FX Correlation Swap

Rationale

- Exploit **tactical dislocations** in the FX volatility triangle
- Capture mispricing driven by **flows in single currency volatility**

Trade Implementation

- Use **correlation swaps** to monetize dislocations
- Provides **limited loss exposure** compared to outright volatility positions

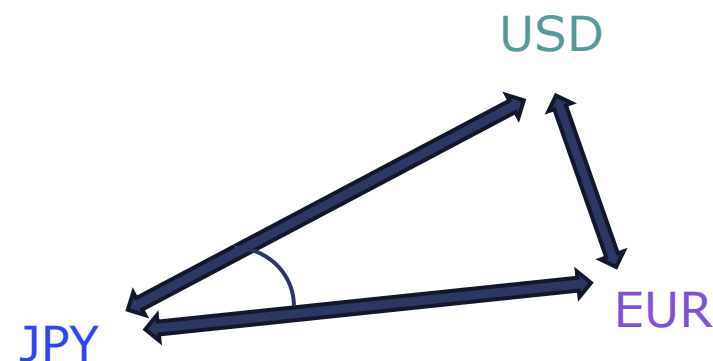
Key Risk to Monitor

- **Correlation exposure**
- Sensitivity to changes in cross-currency dynamics

Implementation to Avoid

- **Short co-volatility** : high risk if correlation moves against the position

Volatility and correlation triangle for currencies





KI Forward Start Variance on SX5E

Rationale

- Exploit **tactical dislocations on the absolute level of volatility**
- Attractive entry when **skew is elevated** in a low-volatility environment

Trade Implementation

- Use **Forward KI Variance** (~105% strike)
- Cheap relative to **current and long-term variance**
- Payoff only triggers if market **exceeds predefined threshold** at start date

Key Risk to Monitor

- **Large drops** in Euro Stoxx volatility
- Skew flattening before trigger date

Implementation to Avoid

- **Short Up & Out Variance Swap** : high tail risk if volatility spikes



Market Neutral Calendar on VIX Futures

Rationale

- Exploit **structural dislocations** between short-term and long-term VIX futures
- Capture **relative value** without taking outright directional exposure

Market Dynamics

- **Calm periods:** Short-term futures cheap vs long-term (after beta adjustment), used to **collect carry**
- **High-volatility periods:** Short-term futures expensive as investors hedge or unwind

Trade Implementation

- **Market-neutral calendar spreads** between short- and long-dated VIX futures
- Target: **convergence of relative pricing** across maturities

Key Risk to Monitor

- **Unexpected macro events** impacting a specific segment of the VIX curve
- Sharp curve steepening or flattening

Implementation to Avoid

- Outright **buying or selling short-dated VIX futures** : exposed to large directional swings



Down Variance on S&P

Rationale

- Provides **long variance exposure** when S&P returns fall below a predefined threshold (e.g., -20% of spot)
- Effective **tail hedge** in negative equity moves

Market Dynamics

- Trades at a **premium vs standard variance swaps** due to negative index skew
- When skew is moderate, offers **efficient protection** against tail events

Trade Implementation

- Enter **Down Variance Swap** on S&P
- Focus: **payoff triggered by large downward moves**
- Target: **tail risk hedging** rather than systematic vol exposure

Key Risk to Monitor

- **Spot and volatility decline simultaneously:** reduced hedge effectiveness
- Market liquidity during stress events

Implementation to Avoid

- **Buying variance systematically** : exposed to carry and large directional losses



FX EURUSD 2Y Vol vs Variance

Rationale

- EURUSD exhibits **ultra-low convexity**
- Driven by:
 - Historically low realized vol-of-vol
 - Adequate supply of flies from leveraged players
- Macro participants favor **low-delta options and barrier structures** due to lack of directional trend

Trade Implementation

- Enter **2Y volatility/variance position** targeting low-convexity exposure
- Focus on **efficient risk-reward profile** with limited upfront spread paid
- Structure choice emphasizes **controlled tail exposure**

Key Risk to Monitor

- **Spread paid at trade inception**
- Sensitivity to unexpected volatility spikes or shifts in vol-of-vol

Implementation to Avoid

- **Buying far OTM strangles:** high cost and low convexity efficiency

Variance minus volatility PnL as a function of realized volatility

